

TOPIC: ACCOUNTING BOOKS/DOCUMENTS KEPT BY THE GOVERNMENT

Government accounting plays a pivotal role in ensuring transparency, accountability, and efficient financial management within the public sector. At the heart of this system lie the essential books of accounting, which meticulously record and organize financial transactions and information. These books serve as the backbone for tracking government revenues, expenditures, assets, and liabilities, ultimately facilitating responsible governance.

The books of accounting in government encompass various records, including the General Ledger, Cash Book, Revenue Register, Expenditure Register, and many others. Together, they provide a comprehensive overview of the government's financial health, enabling policymakers and stakeholders to make informed decisions, allocate resources effectively, and ensure that public funds are used responsibly. In this introduction, we will explore the significance of these accounting books and their role in upholding the integrity and credibility of government financial management. But for the sake of this class we will be looking at three (3) major books of accounts used in government sector accounting;

1. Cash book,
2. Vote book and
3. Journal Ledger.

THE CASH BOOK

In government accounting, a "Cash Book" is a fundamental accounting record used to track and manage cash transactions. It is essential for maintaining financial control and transparency in government finances. The Cash Book is a crucial tool in government accounting for tracking cash transactions, maintaining fiscal discipline, and ensuring financial transparency and accountability. It helps government entities manage their cash flows effectively and serves as a vital component

in the broader framework of government financial management. All cash transactions and transactions made by cheque (bank) must be recorded in the cash book and it should be noted that all transactions made on credit should not be recorded in this book as there are not meet the requirement.

Uses or Purpose of the Cash Book

- i. **Recording Cash Transactions:** The primary purpose of the Cash Book is to record all cash-related transactions, including both cash receipts and cash payments. It provides a comprehensive record of how the government manages its cash.
- ii. **Cash Flow Management:** The Cash Book helps government agencies and departments manage their cash flows effectively. It ensures that there is enough cash available to meet immediate financial obligations and prevents cash shortages.
- iii. **Transparency and Accountability:** By meticulously recording all cash transactions, the Cash Book enhances transparency in government finances. It allows for easy tracking of funds and facilitates accountability to the public and relevant authorities.

Key Components of a Cash Book

- i. **Date:** Each transaction in the Cash Book is recorded with its respective date, allowing for a chronological view of cash activities.
- ii. **Particulars:** A brief description of the transaction, including the source or recipient of the cash and the purpose of the transaction.
- iii. **Receipts:** The Cash Book includes a section for recording cash receipts. This may include tax collections, fees, grants, or any other source of income.

- iv. **Payments:** Another section is dedicated to recording cash payments, such as salaries, purchases, utility bills, and other expenses.
- v. **Cash Balance:** The Cash Book maintains an ongoing balance that reflects the amount of cash on hand after each transaction. This balance should reconcile with the actual cash in the government's possession.
- vi. **Running Totals:** The Cash Book typically includes running totals for both receipts and payments, making it easy to monitor the overall cash position.

TYPES OF CASHBOOK

1. Single column cashbook
2. Double column cashbook
3. Three column cashbook
4. Petty cash book

DOUBLE COLUMN CASHBOOK

In this type of cashbook, two separate accounts cash and bank are combined together for convenience purposes.

Date	Particulars	F	Cash (₦)	Bank (₦)	Date	Particulars	F	Cash (₦)	Bank (₦)
1/1/2023	Capital	-	xx	xx					

THREE COLUMN CASHBOOK

The three cashbook represents three accounts: cash, bank and discounts combined all into one account. It follows the same principle as the two column cashbook with the exception of the

discount column which can be divided into discount allowed and discount received been introduced.

[illegible]

ILLUSTRATIONS

1. Write up a two column cashbook from the following details and balance off as at the end of the month of September 2023:

1/9/23: Started business with capital in cash ₦3,000

2/9/23: Paid rent by cash ₦70

3/9/23: Received loan from Pablo ₡500 by cheque

5/9/23: We paid Olu by cheque ₦165

6/9/23: We paid general expenses in cash ₦300

9/9/23: Withdrew ₦1,000 from cash till and paid it into the bank account

10/9/23: Cash sales paid directly into the bank ~~¥~~\$3,000

12/9/23: Banked cash ₦900

14/9/23: Cash purchased ₦500

16/9/23: Bought goods by cheque ₦130

19/9/23: Commission received by cheque N°501

21/9/23: Bought motor van by cheque ₦60

22/9/23: Cash drawings by the proprietor ₦21

24/9/23: We paid Biodun for goods bought ₦250,
₦150 in cash and ₦100 by cheque

26/9/23: Wages paid in cash ₦35

27/9/23: Bought stationary by cash ₦75

28/9/23: Withdrew ₦105 from bank for private use

30/9/23: Rent received by cheque ₦45

31/9/23: Cash sales ~~£~~1,000

2. Write up a three column cash book from the following details for the month of January 2023:

1/1/23: Started business with ₦5,000 in the bank

2/1/23: Received a cash loan of ₦600 from Soji

3/1/23: Bought motor car paying by cheque ₦70

4/1/23: Paid rent in cash ₦70

7/1/23: Paid wages with cheque ₦270

8/1/23: Cash withdrawn from the bank ₦300

9/1/23: Bought goods for cash ₦170

12/1/23: Cash drawings ₦150

15/1/23: We settled the following accounts by cheque less 5% discount: Sayo ₦300;

Ajayi ₦280; Biodun ₦600

17/1/23: Cash purchases ₦180

19/1/23: The following paid us their account with cheque in each case deducting a 5% discount Olu ₦250 and Ismail ₦160

PETTY CASHBOOK

A petty cashbook, also known as a petty cash ledger or petty cash register, is a financial record used by businesses to track small, day-to-day expenditures and manage a limited amount of cash kept on hand for miscellaneous and minor expenses. It serves as a subsidiary ledger to the main accounting system, helping to maintain transparency and accountability for small cash transactions that do not warrant the use of regular company funds or checks.

The conventional system for recording this small cash disbursement is called the Impress system. In this system, a specific sum is given to the petty cashier at the start of the accounting period. This specific sum is called float.

ADVANTAGES OF PETTY CASHBOOK

1. The risk of fraud will be eliminated
2. The burden of the main cashier will be reduced

ILLUSTRATION

Absad Enterprises uses an analysis petty cashbook with columns for Travelling, Postages, Stationary, Motor expenses, Cleaning, Ledger accounts. The petty cash system is based on an impress of ₦1,000 which will be replenished at the end of the month.

The following information was extracted from the books for the month of January 2023.

January		₦
1 st	Petrol	40
3 rd	Postage stamps	15
4 th	One ream of typing paper	30
6 th	Segun- Settlement	150
7 th	Office cleaning materials	20
8 th	Travelling	40
10 th	Refund of a clerks bus fare	20
14 th	Car polish	30
16 th	Petrol and oil	70
18 th	Registered mail	20\
20 th	Office carpet shampoo	10
21 st	Petrol	70
25 th	Petrol	70
27 th	Brown-settlement of account	250
28 th	Smith –settlement of account	60
29 th	Carbon paper	40

Required:

1. Enter the above transactions into a suitable ruled petty cash book
2. Repletion of the impress.

VOTE BOOK

A Vote book is a memorandum accounts book used for monitoring government expenditure and ensures that there is no extra-budgetary spending. Is a record-keeping tool used to track and manage government expenditures and appropriations. It is typically employed in parliamentary or legislative systems where government spending is subject to approval by a legislative body or parliament. Vote Book is a crucial tool in government accounting, particularly in parliamentary systems, as it ensures that government spending remains within the bounds of approved budgets, enhances transparency, and facilitates accountability to the legislative body and the public. It helps maintain fiscal discipline and responsible financial management within the government.

USES AND PURPOSE OF THE VOTE BOOK

- i. Budget Allocation: The primary purpose of the Vote Book is to record the allocation of budgeted funds to various government departments, ministries, or agencies. It ensures that government entities have the necessary funds to carry out their approved activities.
- ii. Authorization and Control: The Vote Book serves as a control mechanism to ensure that government expenditures align with the budget approved by the legislative body. It helps prevent overspending by ensuring that expenditures do not exceed the allocated budget.
- iii. Transparency: By maintaining a detailed record of how budgeted funds are allocated and spent, the Vote Book enhances transparency and accountability in government spending. This information is often available for public scrutiny.

REASONS FOR KEEPING A VOTE BOOK

- i. For effective monitoring of government expenditure
- ii. To depict uncommitted balance at a glance

- iii. To depict government creditors
- iv. To ensure that funds are available in the appropriate head and sub-head to meet payment of a specific voucher
- v. To ensure that there is no extra-budgetary spending.

KEY COMPONENTS OF A VOTE BOOK

- i. Department or Ministry: Each government department or ministry has a separate section in the Vote Book where its budget allocation and expenditures are recorded.
- ii. Budgetary Allocation: The Vote Book includes a column for the initial budget allocation, which is the amount approved by the legislative body for each department.
- iii. Expenditure Recording: Government officials responsible for expenditures record their expenses in the Vote Book. This may include salaries, purchases, and other expenses related to the department's operations.
- iv. Balance Remaining: The Vote Book calculates and displays the remaining balance for each department after deducting actual expenditures from the initial allocation. This information helps departments stay within budget limits.
- v. Reallocations: In some cases, departments may request or receive approval for reallocating funds from one budget category to another. The Vote Book should reflect these reallocations to maintain accurate records.
- vi. Regular Updates: The Vote Book is regularly updated to reflect the most current financial information, allowing for ongoing monitoring and control of government spending.

Audit and Accountability: The information in the Vote Book is subject to audit by government auditors and external audit agencies. Auditors verify that expenditures have been made in accordance with approved budgets and that there is no unauthorized spending.

Example of a vote book:

VOTE BOOK

Head -----
 Sub head -----
 Service -----

Authorization Appropriation
 AGW -----
 AIE -----
 OTHERS -----
 TOTAL -----

Li ne No 1	2 Da te	3 P V n o	4 part- icula rs	5 Pa y- me nt	6 Cum m. paym ent	7 B al	8 Lia - bili ty Ref	9 Lia- bility incurr ed	10 Lia - bili ty cle ar	11 Outs - tand ing Lia	12 remar ks	13 Uncommi tted bal	Li ne 14

Illustration:

Record the following transactions in a vote book of the Ministry of Education in respect of the purchase of stationery.

1/2/22 The authorize appropriation ₦100,000

2/2/22 Paid ₦45,000 for the purchase of biros, pencil and typing sheets on PV number 0001 From Potec Bookshop

6/2/22 Amount paid for the supply of duplication papers on P.V 0002 was ₦50,000

10/2/22 Issued LPO number 0041 to Yinkus Bookshop for the supply of photocopying papers

18/2/22 Settled Yinkus on account PV number 0003

23/2/22 Paid for stapling pins, office pins, staplers, etc. ₦20,000 on PV number 00004 from CHALLENGE BOOKSHOP

26/2/22 PV 0005 ₦120,000 payment for typing sheets to CSS BOOKSHOP

27/2/22 Issued LPO number 00042 for supply of duplicating paper to NOSS STORES LIMITED ₦300,000

30/2/22 Paid ₦300,000 on PV number 0006 for the purchase of Carbon papers to CHALLENGE BOOKSHOP

31/2/22 Paid NOSS STORES LIMITED on account PV number 0007

The SW/AIE/RIE number is 04, the head for stationery is 502 and the sub-head is 05

JOURNALS/LEDGERS

In government accounting, the journal and ledger are two essential components that work together to maintain accurate financial records. Journal and Ledger are crucial for maintaining financial records, tracking transactions, ensuring accountability, and generating accurate financial statements. They form the foundation of sound financial management, supporting effective decision-making and budgetary control.

Journal:

Recording Initial Transactions: The journal is the first place where financial transactions are recorded in chronological order. This includes all financial activities, such as revenue collections, expenditures, fund transfers, and other financial events.

Double-Entry System: Government accounting, like all professional accounting systems, employs the double-entry system in the journal. For every transaction, two entries are made - a debit and a credit entry. This ensures that the accounting equation ($\text{Assets} = \text{Liabilities} + \text{Equity}$) remains in balance.

Detailed Transaction Records: The journal provides a detailed account of each transaction, including the date, description, accounts affected, and the amounts involved. This information is essential for tracking and verifying financial activities.

Supporting Documentation: Any supporting documents, like invoices or receipts, are referenced in the journal to substantiate the transactions, promoting transparency and accountability.

Ledger:

Grouping and Classification: The ledger complements the journal by organizing and classifying transactions into specific accounts, creating a centralized record of financial information. Each account in the ledger represents a specific type of asset, liability, revenue, or expenditure.

Summarized Information: While the journal offers detailed transaction records, the ledger provides a summarized view of each account's balance and activity. It allows government accountants and officials to quickly assess the financial standing of specific accounts.

Trial Balance Preparation: The ledger is instrumental in preparing the trial balance, which is a summary of all account balances. This report helps ensure that the debits and credits in the ledger are in balance and that the accounting records are accurate.

Financial Reporting: The ledger serves as the basis for generating various financial statements, including balance sheets, income statements, and cash flow statements. These reports provide a comprehensive view of the government's financial performance and position.

Audit and Accountability: The ledger is subject to audit to confirm that the account balances are accurate and that the government's financial records adhere to accounting standards and regulations. It is an essential tool for financial transparency and accountability.

STRUCTURE OF GOVERNMENT ACCOUNTING

The structure of government accounting is built upon a multiple unit design as against the holistic arrangement found in business accounting. The accounting structure in business revolves around a set of rules and principles, which have uniform application on different business categories. Such principles include:

- Accrual concept
- Other accounting concepts and conventions
- Statements of Accounting Standards(SASs) issued by the Nigerian Accounting Standards Board (NASB)-now Financial Reporting Council (FRCN) of Nigeria, IASs issued by IASC and IFRS issued by IASB
- Companies and Allied Matters Act, 1990
- other legal and professional pronouncements

The fact that all businesses share common objectives and basic features explains why commercial accounting structure is holistic. For example, all businesses pursue the objective of earning a profit and have similar ownership-management structures.

On the contrary, government accounting structure which is based on multiplicity of entities, with different characteristics, instruments and objectives, is fragmented. There are different levels of government, various ministries, departments, institutions and agencies; different rules are applicable to different organizations in government. In addition, they are established to serve a variety of objectives such as education, health, food, defense, roads, ecology, energy, and so on. However, despite the diversity of public sector entities and the multiplicity of government accounting units, the fragmented structure of government accounting is not chaotic. It has an

orderly arrangement of its own such that certain features are recognizable as common to public sector accounting. Such characteristics include grouping of accounts into funds; cash basis, and fiscal compliance.

ACCOUNTING CODING SYSTEM

Accounting coding systems, often referred to as chart of accounts or general ledger codes, are a fundamental component of financial accounting and bookkeeping. These systems are used to categorize and classify financial transactions, making it easier to record, track, and report on financial data. A well-designed accounting coding system helps ensure consistency, accuracy, and efficient financial management. It consists of fields and codes that are used to classify and record financial data to meet a number of objectives:

- i. Provide consistency and uniformity for internal financial reporting and budget management
- ii. Prepare audited financial statements in conformity with Generally Accepted Accounting Principles
- iii. Demonstrate compliance with restrictions and regulations imposed by governmental authorities, granting agencies, and donors.
- iv. Yield consistent data for various external reporting needs such as the “The Integrated Postsecondary Education Data System (IPEDS), accreditation, and bond rating and compliance”.

Accounting coding systems use alphanumeric codes to classify and categorize various accounts within an organization's chart of accounts. These codes provide a systematic way to organize financial transactions. Here are some examples of account codes within a typical accounting coding system:

Asset Accounts:

- 101: Cash
- 102: Accounts Receivable
- 103: Inventory
- 104: Prepaid Expenses
- 105: Buildings
- 106: Vehicles
- 107: Land
- 108: Equipment

Liability Accounts:

- 201: Accounts Payable
- 202: Loans Payable
- 203: Accrued Liabilities
- 204: Bonds Payable
- 205: Unearned Revenue

Equity Accounts:

- 301: Common Stock
- 302: Retained Earnings
- 303: Additional Paid-in Capital

Revenue Accounts:

- 401: Sales Revenue
- 402: Service Revenue
- 403: Interest Income
- 404: Rental Income
- 405: Dividend Income

Expense Accounts:

- 501: Rent Expense
- 502: Salaries and Wages Expense
- 503: Utilities Expense
- 504: Office Supplies Expense

505: Depreciation Expense

506: Advertising Expense

507: Repairs and Maintenance Expense

508: Taxes and Licenses Expense

These are just examples, and the specific account codes and names can vary widely from one organization to another based on their needs and the complexity of their operations. Some organizations may use more detailed coding systems with additional digits for sub-accounts or cost centers.

It's important to note that while the examples above use a three-digit structure for account codes, larger organizations with more complex accounting needs may use longer codes, allowing for greater detail and categorization. The key is to establish a consistent and organized structure that aligns with the organization's financial reporting requirements and facilitates accurate financial management and reporting.

ADVANTAGES OF CODING SYSTEM IN PUBLIC SECTOR ACCOUNTING

Coding systems in public sector accounting offer several advantages, making financial management more efficient, transparent, and adaptable. Here are some of the key benefits:

- **Improved Accuracy and Consistency:** Coding systems allow for standardized classification and categorization of financial transactions. This consistency reduces the likelihood of errors and ensures that financial data is accurately recorded and reported.
- **Efficient Data Entry and Retrieval:** Coding simplifies the data entry process, making it faster and more efficient. Government accountants can quickly input transactions and retrieve information as needed, streamlining the accounting process.

- **Enhanced Financial Reporting:** With a well-structured coding system, generating financial reports becomes more straightforward. This helps public sector organizations present financial information in a clear and organized manner, aiding decision-makers, stakeholders, and the public in understanding the financial health of the government.
- **Facilitation of Budgeting and Planning:** Coding systems are valuable tools for budgeting and financial planning in the public sector. They help government entities allocate resources effectively, monitor budget execution, and make informed decisions about resource allocation for various programs and initiatives.
- **Transparency and Accountability:** A well-designed coding system promotes transparency in public sector financial management. It allows for detailed tracking of revenues and expenditures, ensuring accountability and reducing the potential for financial mismanagement or fraud.
- **Ease of Auditing and Compliance:** Coding systems make it easier for auditors to review financial records and assess compliance with regulations and standards. This simplifies the audit process and reduces the risk of financial irregularities going unnoticed.
- **Adaptability and Scalability:** Coding systems can be adapted to suit the specific needs of different public sector organizations. They can also accommodate changes and expansions in government programs and services, ensuring flexibility as the organization evolves.
- **Integration with Technology:** Modern coding systems can be integrated with accounting software and financial management systems. This integration automates data entry, enhances data analysis, and supports the implementation of more advanced financial management tools.

GOVERNMENT ACCOUNTING PROCESSES

To achieve the objectives of governmental accounting, public sector accountants' carryout a number of functions as discussed above. In doing so, they follow certain processes which involve routine and repetitive procedures. Generally, these processes comprises of the following:

- **Recording in day books on a daily basis:** Government accounting involves the daily recording of financial transactions in specialized day books. These records are used to maintain an accurate and transparent account of government financial activities, including revenue collection, expenditures, and fund transfers.
- **Classification of data according to heads and sub-heads, now replaced with codes:** In the past, government accounting classified data using heads and sub-heads to categorize revenue and expenditure items. However, many governments have transitioned to using coding systems to streamline data management, making it easier to track and report financial information efficiently.
- **Preparation of trial balance, passing year-end adjustments; to produce re-shaped (adjusted) trial balance:** Government accountants prepare a trial balance at the end of an accounting period to summarize the balances of various accounts. Year-end adjustments, such as accruals and prepayments, are made to ensure the accuracy of financial reports. The adjusted trial balance reflects these changes, providing a more accurate representation of the government's financial position.
- **Preparation of income and expenditure accounts based on the adjusted trial balance and then a balance sheet:** In government accounting, income and expenditure accounts are prepared to document the government's revenue and expenses over a specific period. These accounts help assess the fiscal health of government entities. Additionally, a balance

sheet is prepared to show the government's assets, liabilities, and equity at a given date, providing a snapshot of its financial position.

- **Reporting on the periods' activities in a statement of receipts and payments and that of assets and liabilities:** Government entities often use a Statement of Receipts and Payments to report cash flows over a specific period. This statement highlights cash receipts and payments, giving a clear picture of liquidity. The Statement of Assets and Liabilities presents an overview of the government's financial position, including its assets (e.g., infrastructure, investments) and liabilities (e.g., debt obligations) at a specific date
- **Carrying forward balances to the subsequent year:** Balances from the previous fiscal year are carried forward in government accounting to ensure continuity in financial records. This process helps government entities track long-term financial trends, budgeting, and performance analysis. It also provides a basis for planning and decision-making in the next fiscal year.

SYSTEM OF CHECKING ACCOUNTING ACCURACY

Checking the accuracy of accounting records is crucial to ensure the financial information presented in a company's financial statements is reliable and trustworthy. This process involves various internal controls, procedures, and verification methods to prevent errors, fraud, and misstatements. Here's an overview of the system of checking accounting accuracy:

1. **Double-Entry Accounting:** The foundation of accurate accounting is the double-entry system, where every financial transaction is recorded with at least two entries – a debit and a credit – to ensure that the accounting equation ($\text{Assets} = \text{Liabilities} + \text{Equity}$) remains in balance.

2. **Journal Entries:** Record all financial transactions in a journal, providing details of the date, description, accounts affected, and the monetary amounts for both debit and credit entries.
3. **Ledger Accounts:** Post journal entries to ledger accounts to maintain a running balance for each account. This allows you to track the changes in individual accounts over time.
4. **Trial Balance:** Periodically prepare a trial balance, which is a list of all ledger account balances, to ensure that debits equal credits. If the trial balance does not balance, it indicates potential errors that need to be corrected.
5. **Reconciliation:** Reconcile various accounts, such as bank statements, accounts receivable, and accounts payable, to verify that the balances match the corresponding external records. Reconciliation helps detect discrepancies and errors.
6. **Internal Controls:** Implement strong internal controls to safeguard against fraud and errors. This includes segregation of duties, requiring authorization for financial transactions, and implementing security measures for financial data.
7. **Audit Trails:** Maintain a clear audit trail for all financial transactions. This involves documenting the source of every entry and any changes or corrections made to the accounting records.
8. **Periodic Closing:** Close the accounting books at the end of each accounting period (e.g., monthly or annually) to prepare financial statements. Closing entries ensure that revenue and expense accounts are zeroed out and the results are accurately reflected in equity accounts.
9. **Financial Statements:** Prepare accurate financial statements, including the income statement, balance sheet, and cash flow statement. These statements should reflect the true financial position and performance of the company.

10. **External Audit:** Many companies undergo external audits conducted by independent auditors to provide an additional layer of assurance regarding the accuracy of their financial records. Auditors review the accounting processes and financial statements to identify errors or irregularities.
11. **Reconciliation of Intercompany Transactions:** For businesses with multiple subsidiaries or entities, it is essential to reconcile intercompany transactions to ensure that transactions between related parties are accurately recorded and eliminated in the consolidated financial statements.
12. **Continuous Monitoring:** Implement ongoing monitoring and review of accounting practices and financial records to quickly identify and rectify errors, discrepancies, or inconsistencies.
13. **Compliance with Accounting Standards:** Ensure that the accounting practices adhere to relevant accounting standards and regulations, such as Generally Accepted Accounting Principles (GAAP) or International Financial Reporting Standards (IFRS).

Importance of Checking Accounting Accuracy

- i. **Reliable Financial Reporting:** Accurate accounting ensures that financial statements provide a true and fair view of a company's financial position and performance, which is essential for stakeholders' trust.
- ii. **Decision-Making:** Management, investors, creditors, and other stakeholders rely on accurate financial information to make informed decisions about investments, loans, and operations.
- iii. **Compliance:** Accurate financial reporting is essential for compliance with accounting standards and legal regulations. Non-compliance can lead to legal issues and penalties.

- iv. **Prevention of Fraud:** Rigorous checking of accounting accuracy helps detect and prevent fraudulent activities and financial irregularities within the organization.
- v. **Efficient Operations:** Accurate accounting enables efficient financial management, budgeting, and resource allocation, contributing to the organization's success.
- vi. **Transparency:** Accurate financial reporting promotes transparency, which is crucial for maintaining the trust of shareholders and the broader public.

Factors Militating Against the System of Checking Accounting Accuracy

Addressing these challenges and implementing strong internal controls and accuracy checks is essential to mitigate the factors that can militate against the system of checking accounting accuracy.

- i. **Human Error:** Errors in data entry, calculations, or judgment can occur due to human mistakes, even in well-established accounting systems.
- ii. **Lack of Resources:** Small businesses may lack the resources, such as experienced accountants or advanced accounting software, needed to implement robust accuracy checks.
- iii. **Complexity of Transactions:** In complex business environments with numerous transactions, it becomes challenging to ensure the accuracy of all entries and reconciliations.
- iv. **Pressure to Manipulate Results:** In some cases, management or employees may face pressure to manipulate financial records to meet performance targets, which can undermine accuracy checks.
- v. **Inadequate Internal Controls:** Weak internal controls, including inadequate segregation of duties and oversight, can lead to errors or fraudulent activities going undetected.

- vi. Technological Issues: Technical glitches, software bugs, or data corruption can affect the accuracy of accounting records.
- vii. Lack of Expertise: Inexperienced or inadequately trained accounting staff may struggle to maintain accurate records.
- viii. Management Override: In some cases, management may override internal controls to manipulate financial results, making it difficult to ensure accuracy.

PAYROLL AND PAYROLL PREPARATION

Payroll preparation is the process of calculating and distributing employees' wages or salaries, as well as any applicable deductions, benefits, and taxes. This critical task is essential for any organization, ensuring that employees are compensated accurately and on time.

Importance of Payroll Preparation

- i. Employee Satisfaction: Accurate and timely payroll processing contributes to employee satisfaction and morale, as employees rely on their paychecks to meet financial obligations.
- ii. Legal Compliance: Payroll must adhere to labor laws and regulations, including minimum wage laws, overtime rules, and tax requirements. Compliance is crucial to avoid legal issues.
- iii. Record-Keeping: Payroll records are essential for maintaining a clear financial history of an organization. They serve as evidence for tax authorities and other stakeholders.
- iv. Cost Control: Efficient payroll management helps control labor costs and ensures that an organization allocates resources wisely.
- v. Taxation: Proper payroll processing ensures the accurate withholding and remittance of employee taxes, such as income tax and Social Security contributions.

- vi. **Benefit Administration:** Payroll often includes the management of benefits, such as health insurance, retirement plans, and leave accruals, which are crucial for attracting and retaining talent.

Benefits of Payroll Preparation

- i. **Efficiency:** Automated payroll systems can significantly reduce the time and effort required for payroll processing.
- ii. **Accuracy:** Payroll software minimizes errors and ensures that employees are paid correctly, reducing the risk of disputes or legal issues.
- iii. **Cost Savings:** Efficient payroll processing can lead to cost savings by reducing the need for manual labor and minimizing errors that might result in costly corrections.
- iv. **Tax Compliance:** Payroll software can automatically calculate and withhold the correct amount of taxes, ensuring compliance with tax laws and regulations.
- v. **Data Security:** Proper payroll systems often include data security measures to protect sensitive employee information.

Factors Militating Against Payroll Preparation

- i. **Complex Regulations:** Frequent changes in labor laws and tax regulations can make payroll preparation complex and error-prone.
- ii. **Data Entry Errors:** Manual data entry can lead to errors in pay calculations and tax withholding.
- iii. **Software Issues:** Glitches, bugs, or software malfunctions can disrupt the payroll process and result in inaccuracies.

- iv. **Data Security Concerns:** The handling of sensitive employee data carries the risk of data breaches and identity theft if proper security measures are not in place.
- v. **Lack of Expertise:** Inexperienced or inadequately trained payroll staff may struggle with accurate payroll processing.
- vi. **Late or Incomplete Documentation:** Delays in receiving timesheets, leave requests, or other necessary information can hinder the timely preparation of payroll.
- vii. **Manual Processes:** Organizations that rely on manual payroll processes are more susceptible to errors and delays.
- viii. **Employee Turnover:** Frequent changes in personnel responsible for payroll can disrupt the process and lead to inconsistencies.
- ix. **Addressing these challenges and implementing robust payroll systems, adequate training, and compliance measures is crucial to ensure that factors militating against payroll preparation are minimized, and the benefits of accurate and efficient payroll processing are realized.**

Methods of Processing Payroll

There are three ways to process payroll; the manual spreadsheet method, the automated method, or outsourcing the entire process. Depending on the budget, size of the organisation and each business's special set of circumstances, payroll can be processed in any way.

Manual Method

Many businesses at their initial stage of operations find spreadsheet-based payroll management convenient because they only have a handful of employees to manage. This method involves calculations using standard templates that have set mathematical formulas for the

salary and compliance payment computations. While this is a cost-effective method, it's not suitable for businesses when their employee count increases. Also, the opportunity cost of using a traditional system over automated methods is very high.

Automation method

Automated software will do away with all the challenges of using spreadsheets or outsourcing them. There are many automation tools and software available in the market that can reduce manual efforts and increase efficiency. Apart from carrying out payroll computations, the software needs to be updated with the latest compliance laws.

Outsourcing method

This means entrusting your payroll execution to an agency. A lot of businesses that don't have dedicated personnel opt for outsourcing. Based on their payroll cycle, they provide the agency with salary information and other data such as attendance, leaves, reimbursement details, etc. every month. The agency then calculates dues and is also responsible for complying with statutory compliances.

GENERAL PAYROLL FORMULA

The payroll formula, calculated differently from country to country, states a process through which the net pay of the employee or worker is being calculated by deducting federal charges (such as income taxes) and all other expenses(such as social security, Medicare, etc.) from the gross earnings. The payroll formula is used by employers to determine the net pay of an employee or worker after deducting various withholdings. The general formula for calculating net pay in payroll is :

$\text{Net Pay} = \text{Gross Pay} - \text{Total Withholdings}.$

Payroll formulas may vary from country to country, and employers need to comply with the payroll calculation methods and deductions as per the relevant laws and regulations in their jurisdiction. Accurate and timely payroll calculation and compliance with deductions are crucial to ensure employees receive their net pay accurately and on time.

TOPIC: TREASURY CONTROL ACCOUNTING SYSTEM

A Treasury Control Accounting System is a critical component of financial management within an organization, especially in the public sector. It's designed to oversee and manage the financial resources, cash flow, and transactions to ensure accountability, transparency, and efficiency.

Components of a Treasury Control Accounting System

1. **Budgetary Control:** This involves the preparation, monitoring, and control of budgets. It ensures that financial transactions align with the approved budgets and helps in forecasting and planning future financial activities.
2. **Cash Management:** This includes managing the organization's cash flow, ensuring there's enough liquidity for operations while optimizing the use of surplus funds to generate income.
3. **Risk Management:** Identifying and managing financial risks associated with treasury activities, such as interest rate fluctuations, credit risks, and market volatility.
4. **Financial Reporting:** Generating accurate and timely financial reports, including balance sheets, income statements, and cash flow statements. These reports provide insights into the financial health of the organization.
5. **Internal Controls:** Implementing checks and balances to prevent fraud, errors, or misuse of funds. This involves segregation of duties, approval processes, and regular audits.
6. **Compliance:** Ensuring adherence to regulatory requirements and accounting standards set by authorities. This involves staying updated with changes in regulations and adjusting practices accordingly.

7. Investment Management: Managing surplus funds by investing in low-risk and high-yield instruments to generate additional revenue for the organization.

Features and Benefits of the treasury accounting system

1. Transparency: A treasury control system ensures transparency in financial transactions, which helps in building trust among stakeholders.
2. Efficiency: Streamlining financial operations, reducing redundant processes, and automating routine tasks improve overall efficiency.
3. Control and Accountability: Through robust checks and balances, it establishes accountability and control over financial activities, reducing the risk of misuse or mismanagement of funds.
4. Improved Decision Making: Accurate and timely financial reports aid in better decision-making by providing a clear picture of the financial standing of the organization.

SELF-ACCOUNTING UNIT

A self-accounting unit is a ministry or department that has full control over its accounting records. The unit relates to the treasury (i.e the accountant general office), through the preparation of transcript. Transcript could be defined as a statement of income and expenditure or receipt and payment and it is the final account of all self-accounting and sub self-accounting unit. Transcript are usually prepared on a monthly basis and forwarded to the treasury together with the following documents by a self-accounting unit:

- i. Certificate of cash and bank balances
- ii. Schedule of vouchers prelisted
- iii. Bank reconciliation statement

Example of a self-accounting unit include:

- i. Ministry of finance
- ii. Ministry of works
- iii. Ministry of education
- iv. Office of the auditor general of the federation etc.

CONDITIONS NEEDED FOR A MINISTRY TO BE SELF ACCOUNTING

Any ministry wishing to be recognized as a self accounting unit must satisfy the following conditions:

- i. The ministry must have adequate qualified personnel
- ii. The ministry must have an adequate and functional system of internal control in operation
- iii. An internal audit department must be established

OBJECTIVES /ADVANTAGES OF SELF ACCOUNTING UNIT

- i. It prevents top management work overload
- ii. It speeds up operational decision making
- iii. It increases flexibility and reduces communication problem
- iv. It increases motivation of the work force and encourages usage of initiatives
- v. It provides better training for junior management

PROBLEMS/DISADVANTAGES OF SELF ACCOUNTING UNIT

- i. Coordination maybe very difficult to achieve
- ii. The extended lines of communication could lead to communication breakdown

- iii. It may be more difficult to achieve consistency 0
- iv. There maybe duplication of certain services
- v. There is the problem of sub optimality. That is the maximization of ministerial goals at the extent of overall goals of the government in general
- vi. Self-accounting unit pre-supposes the availability of more good and well qualified managers, which are very scarce to get
- vii. There maybe friction or inter-departmental conflict between the ministry where their functions are inter dependent

SUB SELF ACCOUNTING UNIT OR LIMITED SELF ACCOUNTING UNIT

A sub self accounting unit performs the same function as a self accounting unit. The difference between them is that when forwarding their transcript to the Treasury, it will be accompanied with:

- i. Original copy of their cashbook
- ii. Duplicate copies of their vouchers
- iii. Certificate of cash and bank balance
- iv. Schedule of vouchers prelisted
- v. Bank reconciliation statement

NON SELF ACCOUNTING UNIT

A non self accounting unit is a ministry or department that has no control what so ever any of its accounting records. If the unit prepares it voucher it cannot make payment on it as all payment must be made at the treasury. Examples of this unit includes; code of conduct bureau, public complaint commission, national population commission etc.

TREASURY CONTROL

Treasury control is a critical aspect of financial management that involves overseeing, regulating, and managing an organization's financial resources. It encompasses various elements focused on maintaining the liquidity, managing risks, and ensuring the efficient utilization of funds.

The treasury has the overall responsibility for the total Accountant General expenditure of government. As the treasurer and Chief Accountant of the government; the treasury must have to keep book of accounts to record all receipts and expenditures of all ministries and department and to prepare an annual statement of account for submission to the Assembly/AFRC through the ministry of finance.

Difference and relationship between treasury and sub treasury headquarters

Aspect	Central Treasury	Sub-Treasury
Authority	Holds primary authority and control	Operates under the authority of the central treasury
Responsibilities	Manages overall financial operations	Handles day-to-day financial activities in a specific area
Policy Formulation	Sets financial policies, strategies, and guidelines	Implements policies and guidelines from the central treasury
Communication Flow	Receives reports from sub-treasuries	Reports financial activities and challenges to the central treasury
Coordination	Ensures coherence in financial strategies and compliance	Implements strategies while adhering to the policies from the central treasury
Decision Making	Decisions often originate from the central treasury	Implements decisions made by the central treasury
Risk Management	Oversees risk management strategies	Implements risk management strategies within their domain

DIFFERENT TREASURY SECTIONS AND THEIR FUNCTIONS

Section	Function
Cash Management	Manages daily cash flows, ensuring adequate liquidity for operations and optimizing cash usage.
Risk Management	Identifies, assesses, and manages financial risks such as market, interest rate, and currency risks.
Investment	Handles investment of surplus funds into diverse financial instruments for income generation.
Credit Control	Oversees credit policies, creditor relationships, and ensures compliance with credit terms.
Treasury Operations	Executes day-to-day treasury activities, including settlements, transactions, and documentation.
Compliance and Regulatory	Ensures adherence to financial regulations, accounting standards, and legal requirements.
Reporting and Analysis	Generates financial reports, analyses data, and provides insights into the organization's finances.
Foreign Exchange	Manages foreign currency exposure, transactions, and minimizes currency-related risks.
Treasury Technology	Manages and maintains treasury management systems and technological tools for efficient operations.
Strategy and Planning	Develops financial strategies, plans treasury activities, and aligns them with organizational goals.
Cash Forecasting	Forecasts cash needs and requirements, aiding in efficient cash management and budget planning.

TRANSCRIP AND THE PREPARATION OF MONTHLY TRANSCRIPT

Transcript could be define as the summary of the total payments and receipts as posted in the cashbook. The preparation of monthly transcript is a very important aspect of the functions of

a self-accounting ministry because it is the only means by which information on the cash transaction are transmitted to the treasury.

PROCEDURES FOR THE PREPARATION OF A TRANSCRIPT

The methods you've mentioned are part of the accounting and financial processes within an organization. They involve steps in recording and organizing financial transactions to create a comprehensive record, often leading to the generation of monthly financial statements or a summarized transcript of the organization's financial activities. These methods form a structured process for maintaining financial records, ensuring accuracy, and ultimately providing a summarized view of an organization's financial activities. They are crucial for decision-making, compliance, and assessing the financial health of the organization.

1. **Obtaining Cashbook:** The cashbook is a record of all cash transactions made by the organization. It involves recording both cash receipts and cash payments. Obtaining the cashbook involves gathering this comprehensive record, ensuring all transactions are accurately and completely captured.
2. **Pre-listing of Vouchers:** Vouchers are the primary documentary evidence of a transaction. Pre-listing involves organizing these vouchers before actual entry into the accounting system. This might include grouping them according to the nature of the transaction, organizing them in chronological order, and ensuring they're properly authorized and documented.
3. **Posting into the Analysis Book:** An analysis book or ledger is where transactions are systematically recorded. Posting involves transferring the details from vouchers or source documents to the appropriate accounts in the ledger. Each transaction is categorized and

recorded under specific accounts (like sales, expenses, assets, liabilities, etc.) in the analysis book.

4. **Scheduling:** Scheduling involves planning and setting a timetable for different accounting activities. It can include setting deadlines for completing certain steps, ensuring that transactions are recorded in a timely manner, and aligning activities to meet reporting requirements or internal organizational needs.
5. **Generation of the Monthly Transaction:** This is the culmination of the processes mentioned earlier. The monthly transactions are summarized and compiled into a document or report that outlines the financial activities of the organization for that specific month. This might include details like total income, expenses, profits, losses, and other financial metrics.

TYPES/CLASSES OF TRANSCRIPT

Transcript can be divided into three (3) namely;

1. Main transcript
2. Supplementary transcript
3. Subsidiary transcript

1. **Main Transcript:** In public sector financial management, the main transcript could be equivalent to the primary financial statements or records. This includes documents like the balance sheet, income statement, cash flow statement, and statement of changes in financial position. These are comprehensive documents that summarize the financial position, performance, and cash flows of the entity.
2. **Supplementary Transcript:** Supplementary financial records in the public sector might include additional information that complements or provides further details to the main

financial statements. These could consist of supporting schedules, disclosures, or additional reports that offer more detailed breakdowns of specific financial components, such as specific categories of expenses, revenue sources, or any non-standard financial transactions.

3. **Subsidiary Transcript:** A subsidiary financial transcript in the public sector might refer to supporting documentation, which details specific transactions or financial elements not fully captured in the main financial statements. It could encompass subsidiary ledgers, transaction logs, or detailed breakdowns of accounts that contribute to the overall financial records but aren't included in the main statements.

DOCUMENTS EXPECTED TO ACCOMPANY THE TRANSCRIPT

The transcript prepared by a self-accounting unit should be forwarded to the treasury with the following documents:

- a. Certificate of cash and bank balances
- b. Schedule of vouchers pre-listed
- c. Bank reconciliation statement

Example of a transcript:

Head	Sub-head	Description	Amount	Sub total	Total	Head	sub-head	Description	Amount	Sub-total	Total

Illustration 1:

Revenue		₦'000
8011	License to marry	300,000
8012	License to Recycle	400,000
8013	Delivery License	700,000
1001	Educational fees	350,000
1002	Medical fees	820,000
1003	Registration fees	670,000

Below the line revenue:

10001	Refund of marriage advance	38,000
100002	Repayment of motor vehicle loan	130,000
100003	Repayment of correspondence advance	75,000
10004	Repayment of salary advance	13,000

Expenditure:

1. Personnel cost (Salaries)	730,000
2. Local transport and traveling	80,000
3. Miscellaneous expenses	75,000
4. Overhead costs	172,000
5. Research expenses	33,000
6. Enlightenment campaign	47,000

Below the line expenditure:

2001	Loans for wedding gown	37,000
2002	Advance (Personal)	42,000
2003	Housing loan	147,000
2004	Beijing advance	83,000

The opening balances for the month are:

Receipt side	947,000
--------------	---------

Required:

Prepare transcript for the month

BANK RECONCILIATION STATEMENT

In the previous sessions, we have discussed the cash Book. The balance of the bank column in the cash book represents the customer's cash balance at bank. It should be the same as shown in the bank statement on any particular day. For every entry made in the cash book if there is a

corresponding entry in the pass book (maintained by the banker) or vice versa, the bank balance will be the same in both books. However, it must be noted that the cash book and the banks account are maintained by two different parties and hence it is not certain that entry in one book will always have a corresponding entry in the other. Normally entries in the cash book should tally (agree) with those in the bank statement and the balances shown by both books should be the same. But in practice, the balances generally differ. In case of disagreement in the balance of the cash book and the pass book, the need for preparing Bank Reconciliation Statement arises. Bank reconciliation statement is a list in which the various items that cause a difference between bank balance as per cash book and the balance per the bank statement at a given date are shown.

The Need and Importance of Bank Reconciliation

The following are the advantages which make bank reconciliation important.

- The errors that might have taken place in the cash book in connection with bank transactions can be easily found
- Regular preparation of bank reconciliation statement prevents frauds.
- It indirectly imposes moral check on the accounting staff.
- By the preparation of bank reconciliation statement, uncredited cheque can be detected and steps can be taken for their collection.
- It discloses any unauthorized cheque issued and cashed.
- It reveals any lodgments not credited by the bank either by omission or commission.

Reasons for Disagreement between the Cash Book and Bank Statement

The timing and information differences which can cause disagreement are

- i. Unpresented cheque

- ii. Uncredited cheque
- iii. Dishonoured cheque
- iv. Bank charges and interest
- v. Standing order
- vi. Dividend
- vii. Credit transfer
- viii. Errors by the bank
- ix. Direct debits
- x. other errors like under casting or overcasting of the cash book balance brought down.

Procedures

The bank reconciliation in the public sector starts with the balance in the cashbook to which are added unrepresented cheques and receipts in books not in cashbook. While payment in bank not in cashbook and receipts in cashbook not in bank i.e uncredited cheque are deducted. The resultant balance must agree with the balance in the bank statement.

FORMAT

BANK RECONCILIATION STATEMENT FOR THE MONTH OF DECEMBER 2020

		₦	₦	
	Balance as per Cashbook on the 31/12/2022		xx	
Add:	Unpresented cheques	xx		
	Receipts n bank not in cashbook	<u>xx</u>	<u>xx</u>	
				XX
Less:	Uncredited cheque	xx		
	Payment in bank not in cashbook	xx	<u>xx</u>	
	Balance as per banks statement as at 31/12/2022		<u>xx</u>	

Illustration:

The cashbook balance of Zobio Local Government Treasury as at 30/9/2009. However the bank accounts statement read ₦510,000. On investigation the following were discovered:

- i. Cheques No. 22551 and 22553 for ₦3,000 and ₦5,000 respectively were not presented for payment to the bank
- ii. Interest on investigation of ₦1,500 was not reflected in the cashbook
- iii. Money remitted to the banks amounting to ₦1,000 was not credited before the statement was issued
- iv. Bank charges of ₦500 are yet to be reflected in the treasury book

Required:

You are required to reconcile the balances of the cashbook and bank statement.

TOPIC. FINAL ACCOUNTS

Final accounts of a sole trader refer to the financial statements prepared at the end of an accounting period to summarize the financial performance and position of the business. These accounts serve as a crucial tool for assessing the profitability and financial health of the sole proprietorship. The final accounts typically consist of three main components: the trading account, the profit and loss account (income statement), and the balance sheet.

Trading Account

The trading account is the first part of the final accounts and is designed to determine the gross profit or loss of the business. It starts with the opening stock (value of goods at the beginning of the accounting period) and adds purchases during the period. Direct expenses like carriage inwards and direct wages are added to the purchases to arrive at the total cost of goods available for sale. The closing stock (value of goods at the end of the accounting period) is subtracted from the total cost, resulting in the gross profit or loss.

Profit and Loss Account (Income Statement)

The profit and loss account follows the trading account and focuses on indirect expenses and revenues to ascertain the net profit or loss. It starts with the gross profit or loss from the trading account and adds other operating revenues, such as sales of assets or interest earned. Indirect expenses like rent, salaries, and utilities are deducted from the total, resulting in the net profit or loss for the period.

Balance Sheet

The balance sheet is the final component of the final accounts and provides a snapshot of the business's financial position at a specific point in time.

It consists of two main sections: assets and liabilities. Assets include current assets (e.g., cash, accounts receivable, inventory) and fixed assets (e.g., property, equipment). Liabilities encompass current liabilities (e.g., accounts payable, short-term loans) and long-term liabilities (e.g., long-term loans).

The balance sheet follows the accounting equation: $\text{Assets} = \text{Liabilities} + \text{Owner's Equity}$. The owner's equity represents the proprietor's interest in the business, calculated as the opening capital plus net profit (or minus net loss) from the profit and loss account.

Adjustments and Additional Considerations

Any adjustments for items like depreciation, accruals, and prepayments are made to ensure that the final accounts reflect the true financial position.

Personal drawings made by the proprietor during the accounting period are deducted from the capital to determine the final capital.

Dr.		Format of trading profit and loss account		Cr
	₦	₦		₦
Opening stock		xx	Sales	xx
Add: Purchases	xx		Less: Return Inwards	<u>xx</u>
Carriage inward	xx			
Less: Return Outward	<u>xx</u>	<u>xx</u>		
COGAFS		xx		
Closing Stock		<u>xx</u>		
Cost of goods sold		xx		
Gross Profit c/d		<u>xx</u>		<u>xx</u>
		<u>xx</u>		<u>xx</u>
Expenses:			Gains & Incomes:	
wages and salaries		xx	gross profit b/d	xx
Discount allowed		xx	Discount received	xx
telephone		xx	Rent received	xx
bad debts		xx	Commission received	xx
Motor expenses		xx		
Stationaries		xx		
Bank charges		xx		
advertising		xx		
lightening and heating		xx		
Repairs		xx		
rent		xx		
General expenses		xx		
depreciation		xx		
Net profit		<u>xx</u>		<u>xx</u>
		<u>xx</u>		<u>xx</u>

THE FORMAT OF A BALANCE SHEET

Dr.	Format of trading profit and loss account		Cr
Owners Equity:			Fixed Assets:
Capital	xx	Land and Building	xx
Add: Net profit	xx	Plant and Machinery	xx
Less: Drawings	<u>xx</u>	Furniture and Fittings	xx
		Motor Van	<u>xx</u>
Long/Current term liabilities:			Current Assets:
Debentures	xx	Stock	xx
Loans	xx	Debtors	xx
Creditors	xx	Bills receivables	xx
Bills payables	xx	Bank	xx
		Cash	xx

Illustration:

The following trial balance was gotten from the books of COCOA INDUSTRIES LIMITED.

	Dr (₦)	Cr (₦)
Capital		22,636
Opening stock	2,368	
Closing stock	3,000	
Carriage inwards	200	
Carriage ourwards	310	
Return inwards	205	
Return outwards		322
Sales		18,600
Purchases	11,874	
Salaries and wages	3,862	
Rent	304	
Insurance	78	
Sundry expenses	664	
Advertising	216	
General expenses	480	
Land and building	5,000	
Furniture and fittings	1,800	
Motor car	350	
Debtors	3,896	
Bank	10,482	
Creditors		1,731
Drawings	1,200	
Total	43,289	43,289

You are required to:

1. Prepare the trading, profit and loss account for the year ended 31/12/2020
2. Prepare the balance sheet as at 31/12/2020

FEDERATION ACCOUNTS

The Federation Account in public sector accounting and finance refers to a centralized pool of financial resources that is shared among the different tiers of government in a federal system. This concept is particularly relevant in countries that have a federal structure, where there is a division of powers and responsibilities between a central government and various sub-national entities such as states or provinces.

The federation account was established by section 162 of the constitution of the Federal Republic of Nigeria in 1999, the finance (control & management) Act of 1958 and the Audit Ordinance of 1956. It was also strengthened by the Civil Service and Local Government Reforms Decree 43 of 1988. It is a special account into which all revenue collected by the Federal Government of the Federation, except the proceeds from the PAYE of Armed Forces Personnel, Police Personnel, Foreign Service Officers and Residents of the Federal Capital Territory, Abuja and other Federal Independent Revenue. Federation Account is a distribution pool account being rationed among the Federal, State and Local Government on such terms and manners as prescribed by the law.

FEDERATION ACCOUNTS ALLOCATION COMMITTEE (FAAC)

FAAC was set up by Allocation of Revenue (federation Account, etc) Act 2004 to deliberate upon and allocate funds from the Federation Account to the three tiers of Government.

COMPOSITION OF FAAC

- a. The Federal Minister of Finance-Chairman
- b. All State Commissioners of Finance-Members
- c. Two persons to be appointed by the President

- d. Accountant General of the Federation
- e. All State Accountants- General

The Permanent Secretary of the Federal Ministry of Finance or representative as designated by the said Minister is the Secretary.

FUCNTIONS OF FAAC

- a. To ensure that allocations made to the States from the Federal Accounts are promptly paid into the Treasury of each state, on basis and terms prescribed by the law.
- b. To report annually to the National Assembly in respect of its functions specified above

CONSOLIDATED REVENUE FUNDS

The Consolidated Revenue Fund is a single account where all revenues collected by the government are deposited. It serves as the primary pool of financial resources for the government, consolidating revenues from various sources into a unified fund. The establishment and management of the CRF are typically governed by legal and constitutional provisions.

CHARGES FROM CONSOLIDATED REVENUE FUNDS

The charges made from the Consolidated Revenue Fund typically include various government expenses and obligations. Here are some common charges made from the CRF:

Operating Expenses: Operating expenses cover the day-to-day costs of running the government. This includes salaries and wages of government employees, office supplies, utilities, and other routine administrative costs.

- a. Debt Servicing: Governments often have outstanding debts, and a portion of the revenues from the CRF is allocated to service these debts. This includes payments for interest and the principal amount borrowed.
- b. Public Services and Programs: Funds from the CRF are used to finance public services and programs, such as healthcare, education, transportation, and social welfare. These allocations are based on the approved government budget and are aimed at fulfilling the government's obligations to its citizens.
- c. Infrastructure Development: Capital expenditures for infrastructure projects, such as roads, bridges, public buildings, and utilities, are financed from the CRF. These projects contribute to the economic development and well-being of the country.
- d. Defense and Security: Expenditures related to national defense and security, including the funding of military and law enforcement agencies, are charged from the CRF. This ensures that the government can maintain a secure and stable environment.
- e. Pensions and Benefits: The CRF is used to pay pensions and benefits to retired government employees. This includes payments to retired civil servants, military personnel, and other government retirees.
- f. Grants and Subsidies: The government may allocate funds from the CRF to provide grants and subsidies to various sectors, industries, or individuals. This can include support for agriculture, small businesses, and other priority areas.
- g. Judicial Expenditures: Expenses related to the functioning of the judiciary, including salaries of judges, maintenance of court facilities, and legal aid, may be charged from the CRF.

- h. **Foreign Aid and Diplomatic Missions:** Expenditures related to foreign aid contributions and the functioning of diplomatic missions abroad are financed from the CRF. This includes funding for embassies, consulates, and international development assistance.
- i. **Emergency and Contingency Funds:** The CRF may be used to create emergency and contingency funds to address unforeseen events, natural disasters, or emergencies that require immediate financial response.

CONTINGENCY FUNDS

A contingency fund refers to a pool of money set aside by an organization or government to cover unexpected or unforeseen expenses, emergencies, or other situations that may arise. The purpose of a contingency fund is to provide financial flexibility and a safety net, allowing the entity to respond to unexpected events without disrupting its normal operations or financial stability.

CHARACTERISTICS OF A CONTINGENCY FUND

- a. **Unplanned Expenses:** Contingency funds are specifically earmarked for expenses that were not anticipated or budgeted for in the regular financial planning process. These expenses can include sudden repairs, legal challenges, natural disasters, economic downturns, or other unforeseen events.
- b. **Risk Mitigation:** The existence of a contingency fund helps organizations and governments mitigate financial risks. It provides a financial cushion to absorb unexpected shocks or challenges, reducing the impact of these events on the entity's overall financial health.

- c. **Financial Preparedness:** Establishing a contingency fund reflects a proactive approach to financial management. It demonstrates the organization's or government's commitment to being financially prepared for uncertainties and risks that may arise.
- d. **Maintaining Operations:** In times of financial stress or emergency, a contingency fund can be crucial for maintaining normal operations. It ensures that the organization or government can continue to function even when faced with unexpected financial burdens.
- e. **Budgeting and Planning Tool:** While a contingency fund is designed for unforeseen events, its existence is part of the overall financial planning process. It is a component of responsible financial management and budgeting, providing a mechanism for dealing with uncertainties.
- f. **Prudent Financial Management:** Having a contingency fund is considered a best practice in financial management. It reflects prudence and foresight in recognizing that uncertainties are inherent in business, government, and organizational activities.
- g. **Legal and Regulatory Compliance:** In some cases, certain industries or government agencies may be required by law or regulation to establish and maintain a contingency fund. This is especially common in sectors where financial stability is crucial for public interest or where potential liabilities are significant

Illustration:

1. (a) Distinguish between Federation Account and Consolidated Revenue Fund
- (b) Prepare Federation Account and Federal Consolidated Revenue Fund Account from the details below:

INFLOWS:

	₦'000
Import duties	400,000
Export duties	300,000
Excise duties	200,000
Petroleum income tax	80,000,000
Companies income tax	71,000,000
PAYE: Deductions from armed forces	400,000
Police personnel	30,000
Residents of Abuja	20,000
Dividend from government investment	120,000

OUTFLOWS:

Remuneration of statutory officers	13,800,000
Recurrent expenditure	1,500,000
Transfer to: Development fund	2,500,000
Contingencies fund	20,000

Note: the revenue allocation formula should be taken as:

Federal Government	48.5%
State Government	24%
Local Government	20%
Special Fund	7.5%

TOPIC: PENSION AND GRATUITY ACCOUNT IN PUBLIC SERVICE

Pension and gratuity are financial benefits provided to individuals, often employees, as a form of compensation for their service and as a means of ensuring financial security during retirement. These components of employee benefits play a crucial role in attracting and retaining a skilled workforce while acknowledging and rewarding their long-term commitment to an organization.

Pension is a regular payment made by an employer to a retired employee as a form of income support during their retirement years. It is a form of deferred compensation, where employees contribute a portion of their salary over their working years, and upon retirement, they receive periodic payments while Gratuity is a lump sum payment made by an employer to an employee as a token of appreciation for their long and meritorious service. Unlike a pension, which provides a regular income stream, gratuity is a one-time payment.

Prior to the year 2004, the public sector pension schemes were non-contributory that is the cost is fully borne by the government. However by virtue of the Pension Reform Act 2004, both the Public and Private Sectors pension scheme are now contributory. The employers and employees are expected to contribute a minimum of 7.5% towards the retirement of the employee. The rate of contribution may however be revised upwards from time to time upon agreement between the employer and employee.

SECTION 2, OBJECTIVE OF THE NEW PENSION REFORM ACT, 2004

- i. To provide a robust sustainable and efficient managed pension to employees in the public and private sectors
- ii. To ensure continuity in the standard of living of the employees in both the public and private sectors on retirement from active service

- iii. To assist improvident individuals by ensuring that they save in order to cater for their livelihood
- iv. To ensure that every person who worked in either the Public or Private sector receives his retirement benefits as at when due.
- v. To establish a uniform set of rules, regulations and standards for the administration and payment of retiring benefits for both the public and private sectors
- vi. To set a higher standard for probity and accountability
- vii. To ensure the improvement of the pension management structure in Nigeria and create job opportunities for Nigerians.

CONDITIONS FOR GRANTING RETIREMENT BENEFITS (PENSION AND GRATUITY)

- a. On voluntary retirement after qualifying service period of 35 years
- b. On compulsory retirement for the purpose of facilitating improvement in the department
- c. On compulsory retirement on attaining the retirement age of 60 years
- d. On health grounds
- e. On total or permanent disability while in service
- f. Retirement for public safety

PENSION FUND

A pension fund is a type of investment fund that is set up to provide retirement income for employees. It is typically established and managed by an employer, a government, or an organization for the purpose of funding employees' pensions. The fund accumulates contributions

from employees and/or employers over the course of an individual's working life, and these contributions are invested to generate returns.

PENSION FUND ADMINISTRATOR

For the purpose of pension fund administrator, the pension fund administrator, which must be licensed by the National pension commission shall:

- Be a limited liability company set up to manage pension fund only
- Have a minimum of ₦150 million paid up capital
- Have a professional capacity to manage funds and administer retirement benefits

FUNCTION OF PENSION FUND ADMINISTRATOR PFA SECTION 45

- Operate retirement savings account with personal identification number (pin)
- Invest and manage pension funds and assets through pension fund custodian
- Maintain books of account on all transactions
- Provide customer service support
- Ensure that retirement benefits are paid as at when due
- Carryout computations of retirement benefits
- Carryout other functions from time to time as may be directed by the national pension commission

REQUIREMENT FOR PENSION ASSET CUSTODIAN

A pension asset custodian must be a licensed financial institution set up to hold pension funds and assets on trust

- Have a minimum net worth of ₦5 billion or owned by a company with net worth of ₦5 billion
- Must have a balance sheet position of ₦125 billion or owned by a licensed financial institution with ₦125 billion balance sheet position
- Must possess professional and technical capacity and adequate operational systems
- Hold pension funds and assets to the exclusive order of the pension fund administrator

INVESTMENT OF PENSION FUND

All contributions to the pension fund should be invested by the Pension Fund Administrator (PFA) with the objective of safety and maintenance of fair terms. The investments are given as follows:

- Bonds, bills and other securities guaranteed by the Federal Government of Nigeria and CBN
- Bonds debentures, shares and debt instruments issued by corporate entities and listed on the stock exchange
- Ordinary shares of Public Limited Company (PLC) on the Stock Exchange
- Bank deposits and bank securities
- Real estate investments
- Overseas investments

PENSION FUND ACCOUNTING

The procedure for pension fund accounting are well illustrated in IAS 19 and 26. The objectives of IAS 19 is to prescribe when the cost of providing retirement benefits should be

recognized as an expense and the amount that should be recognized. It also prescribes the information to be disclosed in the enterprises financial statement.

TOPIC: STORES AND STORES ACCOUNTING

Federal Government Financial Regulation number 2201 states that “Stores include all movable property purchased from public funds or otherwise acquired by Government”. Stores in Accounting simply refers to stock of materials purchase with government money for government use.

The Accounting Officer is responsible to the assembly for loss of stores and other Government property in his care and for any loss arising there from. Stores control is an aspect of management and the framing of the necessary systems and procedures is therefore a matter for Ministries and Departments.

STORES CLASSIFICATION

For accounting purposes stores are classified into two classes, namely: Allocated stores and Unallocated stores.

- a. Allocated stores:** Allocated stores are stores that the cost of which is chargeable to and remains a charge to the sub-head of expenditure in which funds for their purchases are provided in the estimates. They may be either purchased direct or obtained from the unallocated stores stock.

The purpose of allocated stores are:

- i.** To acquire stores of a standard design and in constant demand

- ii. To save storage space by holding minimum stocks requirement
 - iii. To make the stocks immediately available when required for a project or service
 - iv. To allow the vote of the relative project or service to be charged with the value of the stores
 - v. To reduce overall cost
- b. **Unallocated stores:** These are purchased for general stock rather than for a particular work or service, for which the final vote of charge cannot be stated at the time of purchase. Their cost is debited to an Unallocated Stores sub-head in the Expenditure estimates.

MAXIMUM AND MINIMUM LEVEL OF STORES

It is the responsibility of the Accounting Officer to fix the maximum and minimum level of the unallocated stores stock holding and to work out the re-order level for the stores. Once determined the maximum limit of the value of the stores, which maybe held in stock at any one time may not be exceeded without the authority of the Minister of Finance.

COSTS OF STORES

There are two methods of arriving at the value at which stores are to be taken on charge:

- a. **Fixed price method:** The average of the value of the items in stock and the known or estimated price of the stores is taken and an approximate unit price is fixed.
- b. **Last known price method:** The articles maybe taken on charge at the last known price when details of the full landed cost are not immediately available

FUNCTIONS OF THE STORE KEEPER

- a. Maintenance of proper books of accounting records
- b. Proper arrangement of the stores
- c. Proper cleanliness of the stores
- d. Initiate purchase reacquisition
- e. Receipts of store items as supplied by the supplier after ensuring that it meets the requirements and the specification stated in the Local Purchase Order (LPO)
- f. Update the bin card/ store card
- g. Preparation of store receipt order
- h. Preparation of store issue voucher
- i. Ensure that there is adequate security over the custody of the store

PROCEDURE FOR STORE PROCUREMENT

On receipt of the purchase requisition initiated by the store keeper or authorized department; the purchasing:

- i. Obtain approval for the purchase of the items from the head of Department or Officer controlling
- ii. Carryout a market survey or request for quotation/tenders from the suppliers
- iii. Specify a closing date for submission of tenders
- iv. After the closing date, constitute a minor or major contract Tender Board
- v. The duty of the Board is to determine the lowest bidder and recommended award of the contract to the lowest bidder
- vi. The head of department is to approve the recommendation of the board

- vii. An LPO will be issued to the contactor
- viii. The goods will be supplied within the time frame agreed

HANDOVER OF STORES

When officer handover custody of stores to another officer, the incoming officer will ensure that the physical stores agree with the book of record i.e. bin card/store ledger. If there are no discrepancies, both officers with a certificate or store form.

In the absence of the outgoing officer, a stock verifier or board of survey may be appointed to check and hand-over the store to the incoming officer. The outgoing officer will be responsible for any discrepancy reported at the time of the handover while the incoming officer will be responsible for any deficiency not discovered at the time of the handover but later discovered.

STORES ACCOUNTING

Store accounts are store ledger posting generated from store receipt vouchers. As for Unallocated stores, the vouchers and ledgers record quantities and values. Storekeepers keep tally or in cards only. They have no business with the store ledgers. A separate ledger has to be opened for each store item. Records of article of the same group should be kept in one ledger and items arranged in alphabetical order. Store ledger items should be clearly indexed and properly kept.

There is a Minimum set of Store Records to be maintained by each Ministry / Extra-Ministerial Department and other arms of Government:

- a. Purchase Journal or Store Cost Book

- b. Issues Journal or Stores Issues Summary
- c. Stores Ledger which must include an account for each category of store and a separate account for:
 - Shortfalls and Excesses
 - Claims Account

Illustration:

The following information relates to receipts and issues of stencils in the central store of Lagos State University in the month of July 2022:

Date	Action	Supplier/Dept	SIV/SRV NO	QTY	PRICE
July 1	Balance	-		-	580
-					
July 3	Issues	Health Science	0471	56	-
	Issues	Economics	0473	160	-
July 5	Issues	Geography	0485	36	-
July 6	Purchases	CSS Bookshop	2778	400	28
July 1	Issues	Accounting	0493	75	-
July 13	Issues	Bio-Chemistry	0497	120	-
July 16	Purchases	Odusote Bookshop	2849	300	29
July 18	Issues	Economics	0514	115	-
July 21	Issues	Pharmacy	0532	140	-
July 26	Issues	History	0549	75	-
July 30	Purchases	CSS Bookshop	2916	500	30
July 30	Issues	Sociology	0571	180	

Requirement:

- a. To enter the information on the Bin Card
- b. State the functions of storekeepers